

3. The Period Comprised by the Earnings Test. Our summary of the New York provisions regarding earnings coverage pointed out that the five-year average is used in the case of utility issues. For railroad bonds, however, the stipulated minimum margin must be shown in five separate years out of the latest six. In all instances, the minimum must be met in the year immediately preceding the date of investment.

Requirements such as the last two are easy to promulgate, but they are poorly suited to the realities of bond investment in an economic world subject to recurring years of serious depression. If it should be characteristic of business in general to experience eight prosperous or average years followed by two unprofitable ones, the effect of these rules would be to encourage investment in bonds (at high prices) during good times, and to impel their sale (at low prices) during depressions.¹⁰

In our view, the only practical *rigid* application of a minimum-earnings standard must be to the *average* results over a period of time. A five-year average, as prescribed by the statute in the case of public-utility bonds, would seem too short under many circumstances, and we should suggest a *seven-year period* as a more suitable normal standard. But this might be shortened somewhat to exclude clearly abnormal years. (For example, the six-year period 1934–1939 would probably provide a fairer test period than the seven-year period 1933–1939.)

If the test had been made, say, in 1934 or 1935, it would have been better to use a ten- or even twelve-year period to avoid giving undue weight to years of severe depression. Practical considerations suggest also that averaging-in the large deficits experienced by some industrial companies during 1931–1933 might produce an earnings-coverage figure too low to be fairly representative of the current situation, even though a long-term average were taken. This difficulty may be solved, arbitrarily, by considering the earnings in deficit years as zero instead of the actual negative figure.

¹⁰ The impracticability of these provisions of the New York statute is best evidenced by the fact that annual amendments were deemed necessary between 1931 and 1937 inclusive, their effect being to exclude the results of 1931 through 1936 from the earnings test. This moratorium" terminated in April 1938, at which time over \$3,000,000,000 par value of railroad bonds were removed from the eligible list. A new moratorium retains bonds of carriers that have earned interest charges *once over* in the last year and in five out of the last six years.